RNMBY

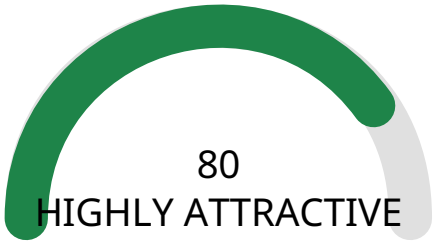
Rheinmetall AG (OTC (ADR, 5:1 ratio))
As-of: 17-Oct-2026 | Latest Filing: H1 2026 (half-year report) | Currency: USD (ADR); company reports in EUR

$245.25

[Mkt 17-Oct-26]

Market Cap: $57.1B
[Mkt 17-Oct-26]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 78

€80.5B backlog gives multi-year visibility; ROCE was 26.4% in 2024 and operating margin expanded from 12.8% to 18.5% in two years. Net debt is modest at 0.7x EBITDA. The black mark: operating free cash flow went deeply negative in H1 2026 on working capital.

2. Recent Trend — 90

Revenue growth of 36%, 29%, and 39% (H1 2026) with margins climbing each year. Backlog went from €38.3B to €80.5B in under three years. Q2 2026 beat consensus operating profit by ~20%. The momentum is undeniable.

3. Forward Growth — 85

2030 target of €50B sales at >20% margin is a 5x from 2025. FY26 guides ~40% revenue growth. German €108.2B defense budget and EU rearmament provide the demand. The discount is execution: reported delivery delays and capacity bottlenecks.

4. Valuation — 78

DCF base $345.50 implies +40.9% upside, and the market's implied 18% CAGR sits below even the 27% bear case, which is pessimistic. Forward P/E of ~26-29x carries a premium to Leonardo (23x) and BAE (20x), but growth is 2-3x theirs and PEG is the best in the peer set.

5. Catalysts & Risk — 68

Q3 earnings on Nov 5, German budget allocations, and steady contract flow are near-term positives. Risks: negative free cash flow, execution delays on vehicle and air-defense programs, CEO concentration, and thin ADR liquidity. Positive skew given the pessimistic pricing.

Investment Thesis

- **€80.5B Backlog:** Order backlog up from €56B a year ago gives years of revenue visibility. Q2 alone booked €11.37B of new orders, outstripping delivery capacity [H1 2026 report][Press].
- **European Rearmament:** Germany's €108.2B defense budget for 2026, EU SAFE program orders, and NATO restocking. The 2030 roadmap targets €50B sales at >20% margin [Press] [CMD Nov 2025].
- **Market Prices Below Bear Case:** At $245.25 [Mkt 17-Oct-26], the DCF base of $345.50 implies +40.9% upside, and the market's implied 18% CAGR sits under the 27% bear case. The stock is down ~50% from its peak on pessimism, not fundamentals.

Key Operating Metrics

METRIC	LATEST	YOY CHANGE	3Y TREND
Order Backlog (H1 2026)	€80.5B [H1 2026 report]	+44% vs €56B a year earlier [H1 2026 report]	Up
Revenue (H1 2026)	€5.23B [H1 2026 report]	+39% [H1 2026 report]	Up
Operating Result (H1 2026)	€786M [H1 2026 report]	+74% [H1 2026 report]	Up
Operating Margin (H1 2026)	15.0% [H1 2026 report]	+2.9 pts from 12.1% [H1 2026 report]	Up
Revenue (Q2 2026)	€3.289B [H1 2026 report]	+69% [H1 2026 report]	Up
Operating Profit (Q2 2026)	€562M [Press]	17.1% margin; beat €470M consensus [Press]	Up

FY2026 Revenue Guide	€13.7-14.2B [8-K guid]	~+40% vs 2025 [8-K guid]	Up
FY2026 Operating Margin Guide	~19% [8-K guid]	+0.5 pts vs 2025 (18.5%) [8-K guid]	Up

Historical Financial Trend

METRIC	FY23	FY24	FY25	H1 2026
Revenue	€7.18B [Annual report]	€9.75B [Annual report]	€9.9B (ex civilian) [Press]	€5.23B [H1 2026 report]
Operating Margin	12.8% [Annual report]	15.2% [Annual report]	18.5% [Press]	15.0% [H1 2026 report]
Order Backlog	€38.3B [Annual report]	€55.0B [Annual report]	n/a [n/a]	€80.5B [H1 2026 report]

Valuation

Absolute (7/10)

Fwd P/E ~26-29x [Cons 17-Oct-26]
DCF Base $345.50 vs $245.25 (+40.9%)
Reverse DCF implies 18% CAGR vs 27% bear case

The model says the market is pricing worse than the bear case; 41% upside to base.

Versus Peers (8/8)

Leonardo fwd 23.2x [Peers 17-Oct-26]
BAE ~20x 2027 [Peers 17-Oct-26]
Rheinmetall PEG 0.66, best of trio

Modest premium to peers on P/E, but growth is 2-3x theirs; best PEG in the European defense set.

Versus History (8/7)

52wk range €909-€1,966 [Mkt 17-Oct-26]
P/E compressed from 65x+ in 2025

Stock down ~50% from its peak while earnings doubled. Multiples are well below their own history.

Catalyst Timeline

Nov 5, 2026 [Cons]
Q3 2026 Earnings (Positive): Q2 beat consensus operating profit by ~20%. H2 carries the margin ramp to ~19% for the full year.

2026 [Press]
German Budget Allocation (Positive): €108.2B defense budget for 2026. Framework contract call-offs converting to firm orders is the re-rating trigger.

2026-27 [Press]
Contract Flow (Positive): Romanian €5.7B

Top Risk Factors (Item 1A)

1. Negative Free Cash Flow: Operating free cash flow was -€1.6B in H1 2026 on postponed advance payments, inventory builds, and uncollected receivables. Management expects a significantly negative full-year print. [H1 2026 report]

2. Execution Delays: Media reports cite delivery delays on the wheeled armored vehicle and Skyranger air-defense system, plus possible quality defects in protective plates. [Press]

3. Aggressive 2030 Target: The €50B 2030 target includes acquisitions and assumes flawless capacity

> package, Skynex air-defense orders, artillery ammunition packages for Ukraine and EU members.

What Would Change Our Score

Further FCF deterioration or delivery delays would cut Operating Quality and Trend. Conversely, German budget call-offs converting to firm orders or a major framework win could re-rate the stock toward the DCF base ($345.50).

ramp. Missing it would re-rate the growth premium fast. [CMD Nov 2025]

4. Backlog Definition: The €80.5B Rheinmetall Backlog includes expected framework-agreement call-offs, not just signed firm orders. Part of the headline number is not yet contracted. [H1 2026 report]

5. ADR Liquidity & Governance: Unsponsored ADR with thin daily volume (~13k shares on Oct 16). CEO Papperger's leadership style and concentrated decision-making have drawn criticism. [Mkt 17-Oct-26]

Forward Growth Drivers

- 2030 roadmap: €50B sales (5x 2025) at operating margin above 20%, pure-play defense after civilian exit [CMD Nov 2025]
- German defense budget of €108.2B for 2026; NATO members rebuilding stocks [Press]
- Largest Western munitions producer; expanding from ~70k to 1M+ artillery rounds annual capacity [Press]
- KNDS consolidation optionality: strategic upside not in the base case, per sell-side research [Press]

Missing / Modified Data Log

- Company reports in EUR; ADR price and market cap in USD. No FX conversion applied to filing figures.
- FY25 continuing-ops figures (€9.9B sales, 18.5% margin) exclude the civilian division being sold; historical comparability is affected.
- Q3 2026 results not yet released (expected Nov 5, 2026).
- H1 2026 operating free cash flow (-€1.6B) taken from press summaries of the half-year report.

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